

4.5 EXPANSION OF FIRMS

Multiple Choice Questions

1990/CE/II/18

Which of the following is an example of lateral integration?

- A. a flour mill combines with a bakery
- B. a jeans factory combines with a swimwear factory
- C. a jewelry manufacturer combines with a noodle factory
- D. a furniture factory combines with a lumbering plant

1991/CE/II/21

Cathay Pacific Airways Ltd. took over Hong Kong Dragon Airlines Ltd. (港龍航空公司). This is an example of

- A. horizontal integration
- B. lateral integration
- C. forward vertical integration
- D. backward vertical integration

1993/CE/II/23

A movie-producing firm acquired a number of theatres to present its own films and films produced by other firms. What are the advantages of this type of integration to the firm?

- (1) The firm can enjoy economies of scale.
 - (2) The firm can reduce its risks by diversifying its investment.
 - (3) It is easier for the firm to obtain contracts with movie stars.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1993/CE/II/24

Which of the following is an example of lateral expansion of a firm?

- A. A telephone company combines with a telegram company.
- B. A restaurant combines with a supermarket.
- C. A hospital sets up a school to train student nurses.
- D. A furniture company combines with another furniture company.

1994/CE/II/27

A travel agent takes over a real estate firm. What kind of integration is this?

- A. conglomerate integration
- B. lateral integration
- C. vertical integration
- D. horizontal integration

1994/CE/II/28

In Hong Kong, when a commercial bank takes over another commercial bank,

- A. it has greater influence on deposit interest rates.
- B. it is able to diversify risk in its business.
- C. its market share is enlarged.
- D. it will suffer from diseconomies of scale.

1995/CE/II/27

A publisher takes over a bookstore. To the publisher, this is a _____ integration.

- A. conglomerate
- B. forward
- C. backward
- D. lateral

1995/CE/II/28

Which of the following is the greatest benefit from conglomerate integration?

- A. diversification of product
- B. economies of scale
- C. ensuring the markets for its output
- D. larger market share

1997/CE/II/20

When a cake shop takes over a coffee shop, which of the following are correct?

- (1) This can provide an outlet for its products.
 - (2) The resources can be better utilized.
 - (3) The risk of the business is reduced through diversification.
 - (4) The profit will increase
- A. (1), (2) and (3) only
 - B. (1), (2) and (4) only
 - C. (1), (3) and (4) only
 - D. (2), (3) and (4) only

1998/CE/II/19

A famous singer expands his show business by producing stationery with his picture on it. This type of expansion is

- A. horizontal.
- B. forward.
- C. backward.
- D. conglomerate.

1998/CE/II/21

When a shampoo manufacturer introduces a new product – shampoo for children, it aims at

- (1) diversifying its market.
 - (2) gaining the economies of scale in marketing.
 - (3) ensuring a market outlet for its products.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2000/CE/II/24

A mobile phone company joins hands with a commercial bank. A customer of the bank can handle matters concerning his accounts by using the mobile phone produced by the mobile phone company. Which of the following is least likely a motive of the mobile phone company in this joint venture?

- A. To ensure steady supply of raw materials
- B. To benefit from more efficient use of resources.
- C. To benefit from economies of scale.
- D. To promote goodwill.

2001/CE/II/23

A bus company expands its business and starts to provide ferry services to the outlying islands. This enables the bus company to

- A. diversify the risk of its business.
- B. diversify markets for its product.
- C. enjoy a larger market share.
- D. enjoy technical economies of scale.

2002/CE/II/22

Mrs Chan, a large supplier of frozen beef, opens a chain of beef steak houses. To this supplier,

- (1) the expansion is a vertical forward expansion.
- (2) the risk of running a loss for her whole business will be lower.
- (3) this can ensure a steady market outlet for her frozen beef.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Refer to the following report to answer Questions 23 and 24.

Towngas Avenue is the largest customer service centre for Towngas. Towngas Avenue also sells tableware and glassware and operates an in-store cafe.

2003/CE/II/23

The extension of the business of Towngas to Towngas Avenue is an example of

- A. horizontal expansion.
- B. vertical backward expansion.
- C. vertical forward expansion.
- D. conglomerate expansion.

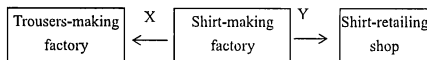
2003/CE/II/24

To Towngas, the extension of the business of Towngas to Towngas Avenue has the advantage of

- A. enjoying technical economies of scale.
- B. ensuring a steady supply of raw materials.
- C. ensuring adequate market outlets.
- D. diversifying production and spreading risk.

2004/CE/II/24

A shirt-making factory has expanded its business as follows:



To the shirt-making factory, the types of expansion shown by X and Y are _____ expansion and _____ expansion respectively.

- A. backward lateral
- B. lateral lateral
- C. backward forward
- D. lateral forward

2005/CE/II/24

Which method of integration can be used by firms to ensure the supply of raw materials?

- A. backward integration
- B. forward integration
- C. conglomerate integration
- D. horizontal integration

2006/CE/II/23

When an international airline company takes over a local airline company, the former has the advantage of

- A. ensuring a steady supply of raw materials.
- B. ensuring a better quality of its service.
- C. enjoying management economies of scale.
- D. avoiding the existence of diseconomies of scale.

The MTR Corporation launched the Octopus Card. It is a smart card system facilitating transactions of small amounts. Answer questions 23 and 24 below:

2007/CE/II/23

To the MTR Corporation, this type of expansion is

- A. horizontal
- B. forward
- C. backward
- D. conglomerate

2007/CE/II/24

Such a type of expansion has the advantage of

- A. technical economies of scale.
- B. increasing the market share of the business.
- C. increasing the profit of the company.
- D. diversifying the risk of business.

Microeconomics by Topic
4. Ownership & Expansion of Firms

A catering company owns many restaurants selling different Chinese foods. Recently, it has opened a new bakery. Which of the following descriptions in questions 22 and 23 concerning the expansion of the catering company are correct?

2008/CE/II/22

The expansion is an example of

- A. borrowing from a deposit-taking company
- B. issuing debentures
- C. issuing preference shares
- D. issuing ordinary shares

2008/CE/II/23

The expansion enables the catering company to

- A. spread the business risk by diversifying the product.
- B. have a greater influence on the market price.
- C. raise the productivity of its workers.
- D. have a more steady supply of raw materials.

2009/CE/II/24

The integration of the MTR Corporation Limited (MTR) and the Kowloon-Canton Railway Corporation (KCR) is an example of _____ with the advantage of _____.

- A. horizontal integration ensuring a steady supply of raw materials for production
- B. vertical integration lowering the production cost
- C. lateral integration economies of scale
- D. conglomerate integration making more efficient use of resources

2010/CE/II/24

When a bakery takes over a flour producing factory, the former has the advantage of

- A. ensuring a market outlet of its products.
- B. enlarging the market share.
- C. ensuring a steady supply of raw materials.
- D. diversifying the market.

2013/DSE/I/08

A firm can ensure a steady supply of raw materials by engaging in _____ while it can increase its market share by engaging in _____.

- A. backward integration ... horizontal integration
- B. backward integration ... lateral integration
- C. forward integration ... horizontal integration
- D. forward integration ... lateral integration

2015/DSE/I/08

759 Store, a local retailer of imported snacks, expands its business to sell cosmetics and skincare products. Which of the following is **LEAST** likely motive behind the expansion?

- A. To reduce competition
- B. To enjoy economies of scale
- C. To expand its brand name to other products
- D. To spread risk by business diversification

2016/DSE/I/11

Hong Kong Television Network Limited (HKTV) has launched an online shopping platform "HKTV Mall". This expansion

- (1) helps spread business risk.
 - (2) ensures a higher profit for the company.
 - (3) extends its brand name to other markets.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2017/DSE/I/09

Giordano International Limited is a retailer of casual wear. It has launched the Giordano Ladies, which provides luxury clothes and suits for ladies. It is an example of _____ expansion.

- A. horizontal
B. vertical
C. lateral
D. conglomerate

2018/DSE/I/08

Toridoll Holdings Corporation, a leading company in the restaurant industry in Japan, acquired a Hong Kong noodle chain Tam Chai Yunnan Noodles (譚仔雲南米線). Which of the following is the **LEAST** likely motive behind the integration?

- A. to secure the supply of factor inputs
B. to spread risk through product diversification
C. to enjoy economies of scale
D. to expand its business to other markets

Short & Structured Questions

1990/CE/I/4(a)(i)

Lei Sun is a garment manufacturing firm wholly owned by Mr Lee. It will be combined with a garment retailing group to form a public limited company. Explain **TWO** advantages to Lei Sun of combining with a retailing group. (4 marks)

1991/CE/I/5(b)(iv)

If Bank B takes over Bank A, what type of integration is this? Suggest **TWO** advantages to Bank B of doing this. (7 marks)

1992/CE/I/4(a)

Company A, which owned several factories in Tsuen Wan, was taken over by a local land developer, Company B. Company B decided to redevelop some of the factories into hotels and shopping centres.

- (i) What type of integration is this? (2 marks)
- (ii) Explain **TWO** advantages of this integration to Company B. (6 marks)

1994/CE/I/9(a)

A truck manufacturer in Japan expands his production to include private cars. Identify this type of expansion and give **TWO** motives for such an expansion. (5 marks)

2019/DSE/I/09

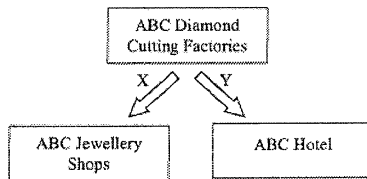
A Hong Kong travel company offers package tours to Japan. It invested in building a hotel, which provides accommodation services to its tour members visiting Japan.

Which of the following is most likely the motive behind the expansion?

- A. to increase the market share
- B. to secure the supply of factor inputs
- C. to ensure a market outlet of its services
- D. to reduce competition

2020/DSE/I/18

ABC Diamond Cutting Factories expand its business as follows:



To ABC Diamond Cutting Factories, the types of expansion shown by X and Y are ____ expansion and ____ expansion respectively.

- A. backward.....conglomerate
- B. backward.....lateral
- C. forward.....conglomerate
- D. forward.....lateral

2022/DSE/I/06

The Walt Disney Company (華特迪士尼公司) expanded its business to provide video streaming service, Disney+.



Which of the following are most likely the motives behind the expansion?

- (1) to spread risk by service diversification
 - (2) to extend its brand name to other products
 - (3) to enjoy economies of scale
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Microeconomics by Topic
4. Ownership & Expansion of Firms

1996/CE/I/11(b)

Suppose a newspaper publisher starts to publish a magazine which is to be sold separately.

- (i) What type of expansion is it? Explain your answer. (3 marks)
- (ii) State **TWO** motives for such an expansion. (2 marks)

1998/CE/I/3

A television broadcasting company takes over a film production company. Give **TWO** possible economic motives of the takeover. (4 marks)

1999/CE/I/11(b)

A taxi company merged with a restaurant. Identify the type of integration and explain **TWO** possible motives for this type of integration. (5 marks)

2002/CE/I/11(d)

The tutorial school also publishes textbooks for sale to the public. Give **FOUR** possible motives of such an expansion. (4 marks)

2003/CE/I/9(b)(ii)

Firm A is a local manufacturer in Hong Kong producing goods for export only. Suppose Firm A establishes retail shops to sell its products in Hong Kong. Explain what type of expansion this is and suggest **TWO** possible motives for such a type of expansion. (6 marks)

2006/CE/I/3

When it started, the Walt Disney Company produced cartoon movies only. Later it expanded its business to owning and operating Disneyland theme parks and hotels. Explain what type of expansion this is and state **TWO** possible motives for such a type of expansion. (4 marks)

2010/CE/I/10(b)

Ocean Park Hong Kong is undergoing a major redevelopment plan. In addition, Ocean Park is planning three themed hotels (the Spa Hotel, Ocean Hotel, and Fisherman's Wharf Hotel) in the area for an expected increase in visitors. Name this type of expansion and explain your answer. (2 marks)

2012/DSE/II/3

A telecommunication service provider starts a credit company which offers loans to the public.

- (a) Explain what type of expansion this is. (2 marks)
- (b) List **THREE** possible motives for the above expansion. (3 marks)

2014/DSE/II/4

Tai Fai Lok Group operates a chain restaurant providing Chinese food.

- (a) Tai Fai Lok Group has recently started Fai Lok Institute, which provides professional training for chefs and managers for Chinese restaurants. To what type of expansion does this belong? Explain your answer. (2 marks)
- (b) Explain **TWO** advantages of such an expansion. (4 marks)

2015/DSE/II/9(b)

McDonald's is one of the major fast food chains in Hong Kong. McDonald's has expanded its business by operating McCafé, which sells premium coffee like other coffeehouses such as Starbucks. To which type of expansion does this belong? Explain. (2 marks)

2019/DSE/II/9

A beauty queen in Hong Kong, Miss Amy Au, is famous for demonstrating the use of cosmetic products with short videos on social media websites. She also sells Japanese cosmetic products on her website.

- (a) Are the short videos on social media websites public goods or private goods? Explain. (3 marks)
- (b) Apart from Japanese cosmetic products, she starts to sell Korean cosmetic products on her website. To what type of expansion does this belong? Give **TWO** possible reasons for this type of expansion. (3 marks)

2020/DSE/II/2

A chain restaurant providing Chinese cuisine set up a cake shop.

- (a) Explain which type of expansion this was. (2 marks)
- (b) List **TWO** possible motives for the above expansion. (2 marks)

2021/DSE/II/3

In 1992, Cathay Pacific Airways acquired an air-catering company which was renamed as Cathay Pacific Catering Services (H.K.) Limited (CPCS). CPCS provided around thirty million meals for various airlines in 2019.

From the viewpoint of Cathay Pacific Airways, name the type of the above integration and give **TWO** motives for this type of integration. (3 marks)

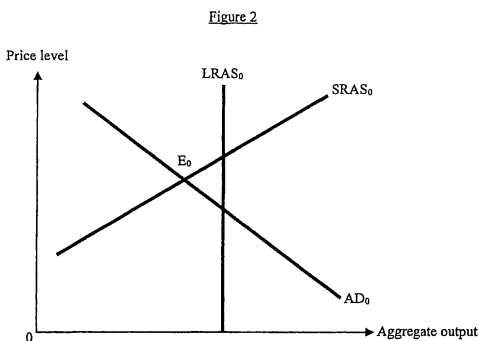
2023/DSE/I/1(a-b)

An electric car manufacturer took over a social media company.

- (a) Explain which type of expansion this was. (2 marks)
- (b) Why did the electric car manufacturer choose to take over a social media company instead of taking over another electric car manufacturer? List **TWO** possible reasons. (2 marks)

2024/DSE/I/07

Figure 2 shows the aggregate demand (AD), short run aggregate supply (SRAS) and long run aggregate supply (LRAS) curves of an economy.



- (a) Give **ONE** reason to explain why the aggregate demand curve is downward sloping. (3 marks)
- (b) Suppose the economy initially operates at E_0 . With the aid of Figure 2, explain how the market adjustment mechanism can restore the aggregate output to the full-employment output level in the long run. (5 marks)